PROJECT 3

Customer Retention Strategy

Bank Customer Churn Prediction and KPI Dashboard

Purpose

This plan translates the churn analysis into practical actions for a bank's retention team. The findings show associations with churn; they do not establish that any one customer attribute causes churn. Use the recommendations as hypotheses to test.

Recommended Actions

Customer group / signal	What the analysis found	Suggested action
Germany	Highest observed churn rate: 32.44%.	Review customer feedback, service issues, product fit and local customer journeys. Pilot targeted support and measure outcomes.
Inactive members	Churn rate: 26.85%, compared with 14.27% for active members.	Test helpful re-engagement messages, account check-ins or relevant product education. Avoid excessive messaging.
Female customers	Churn rate: 25.07%, compared with 16.46% for male customers.	Investigate whether service needs, product mix or experience differ. Do not assume gender itself explains churn or use it as the sole basis for offers.
High model risk	Model scores identify customers with higher estimated churn probability.	Prioritise a human-reviewed outreach queue. Confirm eligibility and customer context before making an offer.
Product-count groups	Three- and four-product groups had high observed churn, but small sample sizes.	Review these cases individually and gather more evidence before designing a segment-wide campaign.

Suggested Pilot Workflow

- Create a weekly list of customers with elevated predicted churn risk.
- Prioritise the list using model probability together with customer value, recent activity, contact permissions and service history.
- Have a staff member review each proposed contact and confirm that the customer is eligible for the selected action.
- Test a small, clearly defined retention intervention against a suitable comparison group where practical.
- Track contact rate, offer acceptance, retention after a defined period, complaints, cost and incremental value.
- Compare results across segments and revise the campaign based on measured outcomes.

Interpreting the What-if Dashboard

The Power BI scenario uses a selected offer-acceptance rate and assumes that 40% of offer accepters are retained. For example, at a 55% acceptance rate, the dashboard estimates approximately 1,532 acceptances and 613 retained customers among the 2,786 high-risk customers. These are illustrative calculations based on assumptions, not observed results or a forecast proven by an experiment.

Measurement Plan

Measure	How to use it
Offer acceptance rate	Accepted offers divided by valid offers delivered.
Retention rate	Share of contacted eligible customers still active after the agreed follow-up period.
Incremental retention	Difference in retention between the intervention group and a comparable control group.
Cost per retained customer	Total campaign cost divided by the number of incremental customers retained.
Customer experience	Monitor complaints, opt-outs and customer feedback alongside retention outcomes.

Risks and Safeguards

- Model predictions can be wrong. Do not automatically deny services, change pricing or make consequential decisions based only on a risk score.
- Check fairness and performance across relevant customer groups before deployment.
- Use customer data only for approved purposes and follow privacy, consent and contact rules.
- Review model performance regularly as customer behaviour and products change.
- Treat the 40% retention assumption as provisional until a real campaign provides evidence.

Closing Recommendation

Start with a limited, monitored pilot focused on high-risk customers and inactive-member re-engagement. Measure incremental retention and customer experience before scaling the campaign. Use the model to support human decisions, not replace them.